

commerce” (9 U.S.C. § 2) simply means that “the ‘transaction’ in fact ‘involv[e]’ interstate commerce, even if the parties did not contemplate an interstate commerce connection.” (Giuliano, *supra*, 149 Cal. App. 4th at 1286.)

On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank*, 796 F.3d 1125, 1130 (9th Cir. 2015).) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C.A. § 4; *Dean Witter Reynolds, Inc. v. Byrd*, 470 U.S. 213, 218 (1985) [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”])

“The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972 (“*Engalla*”); *Green Tree Financial Corp.-Alabama v. Randolph* (2000) 531 U.S. 79, 91-92.)

Defendant has met its initial burden by producing a valid arbitration agreement, which covers the issues in Plaintiff’s Complaint. (Complaint, Ex. 1.; Gonzalez Decl., Ex. A.) The burden transfers to Plaintiff to show by a preponderance of the evidence any defense to the agreement. (*Engalla, supra*, 15 Cal.4th at 972.)

Plaintiff argues the Agreement was both procedurally and substantively unconscionable.

“The unconscionability doctrine has both procedural and substantive elements, “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” [Citation.] Both must be shown for the defense to be established, but not necessarily in the same degree. [Citation.] We evaluate unconscionability on a sliding scale, so that the more substantively one-sided the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa. [Citation.] “The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” [Citation.] When unconscionability is shown, the trial court has discretion either to refuse to enforce the contract or to strike the unconscionable provision and enforce the remainder of the contract.” (*Davis v. Kozak* (2020) 53 Cal. App. 5th 897, 905.)

“Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] ‘The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the

subscribing party only the opportunity to adhere to the contract or reject it.' " (Armendariz, supra, 24 Cal.4th at p. 113.)

The contract and the arbitration agreement were standardized contracts, which do not appear to have permitted Plaintiff the ability to negotiate, which support minimal procedural unconscionability. Importantly Plaintiff was given the opportunity to opt out of the agreement as the terms of the agreement specifically permit opting out and provide Plaintiff with the method of opting out. (*Mohamed v. Uber Techs., Inc.*, 848 F.3d 1201, 1211 (9th Cir. 2016).) Plaintiff had reasonable opportunity to reject the agreement yet chose not to do so.

There is little showing of procedural unconscionability.

As to substantive unconscionability, "[i]t has long been recognized that substantive unconscionability is not susceptible to 'precise definition' " [Citation], and therefore our courts have used a wide variety of expressions to describe contractual provisions that are substantively unconscionable, including " ' " " "overly harsh" ' " [citation], " 'unduly oppressive' " [citation], " 'so one-sided as to "shock the conscience" ' " [citation], or "unfairly one-sided" [citation]' " [Citation.] Our Supreme Court recently clarified that "these formulations ... all mean the same thing." [Citation.] The essential notion they each capture is " 'that unconscionability requires a substantial degree of unfairness beyond "a simple old-fashioned bad bargain." ' " [Citation.] [¶] A contractual provision is not substantively unconscionable simply because it provides one side a greater benefit. The party with the greater bargaining power is permitted to require contractual provisions that provide it with additional protections if there is a legitimate commercial need for those protections, but the stronger party may not require additional protections merely to maximize its advantage over the weaker party. [Citations.] "As has been recognized ' "unconscionability turns not only on a 'one-sided' result, but also on an absence of 'justification' for it." ' " ' " " (Carbajal v. CWPSC, Inc. (2016) 245 Cal. App. 4th 227, 247-48.)

Plaintiff argues Defendant's retention of the lien sale, but requiring all other statutory and tort claims to be arbitrated is unconscionable. However, Defendant only retained the lien sale benefit, which is it permitted to do without entering substantive unconscionability. (*Carbajal, supra*, 245 Cal. App. 4th at 248.) There is nothing in the agreement that makes it so one-sided as to "shock the conscience" or that is "unfairly one-sided." as to "shock the conscience" or that is "unfairly one-sided." As there is no showing of substantive unconscionability, Plaintiff has not met the burden.

The motion is **GRANTED**, and parties are ordered to participate in arbitration pursuant to the terms of the contract. This matter is stayed pending the outcome of arbitration. (9 U.S.C. § 3.)

An OSC Re: Status of Contractual Arbitration is scheduled for 12/14/26 at 2:00 p.m. in Dept. N17.

		Defendant to give notice.
10	Burke v. Benworth Capital Partners, LLC	Before the Court is (1) a motion for attorney fees and costs on appeal filed by defendants Benworth Capital Partners, LLC and Bernardo Navarro; and (2) a motion for leave to file a second amended complaint filed by plaintiff Griffin Burke. For the reasons set forth below, the motion for attorney fees and costs is GRANTED in the total amount of \$41,512.21 and the motion for leave to file the second amended complaint is GRANTED. <u>Motion for Attorney Fees and Costs</u> Plaintiff's evidentiary objections are OVERRULED. <u>Timeliness</u>: The Court finds that the motion was timely filed pursuant to California Rules of Court, rule 3.1702. The 40-day statutory time limit was tolled during the Court-ordered stay of the entire case. (See generally, <i>Ocean Services Corp. v. Ventura Port Dist.</i> (1993) 15 Cal.App.4th 1762.) The stay of the case--requested by Plaintiff--ran from 10/18/24 until 5/7/26, when it was lifted by the Court upon Plaintiff's request. The motion for attorney fees was filed 36 days later. In addition, the Court finds good cause to extend the deadline. (Cal. Rules of Court, rule 31702(d); <i>Lewow v. Surfside III Condominium Owners' Assn., Inc.</i> (2012) 203 Cal.App.4th 128, 381; Declaration of Robert M. Shaughnessy ¶ 30.) <u>Entitlement to Fees</u>: As in trial court litigation, attorney fees on appeal are recoverable if authorized by contract, statute or law. (Code of Civ. Proc. § 1033.5, subd. (a)(10); <i>Butler-Rupp v. Lourdeaux</i> (2007) 154 Cal.App.4th 918, 927; <i>Serrano v. Unruh</i> (1982) 32 Cal.3d 621, 637.) On remand after issuance of the remittitur, the trial court determines entitlement and amount of attorney fees reasonably incurred on appeal. (<i>Butler-Rupp v. Lourdeaux, supra</i>, 154 Cal.App.4th at 925-928.) Here, the Court already determined Defendants are contractually entitled to recover fees and costs, when it granted Defendants' motion for attorney fees and costs at the trial level. (ROA 445.) <u>Reasonableness of Fees</u>: Reasonable attorney's fees authorized by contract shall be awarded to the prevailing party as "fixed by the court." (Civ. Code § 1717, subd. (a).) The matter of reasonableness of a party's attorney fees is within the sound discretion of the trial court. (<i>Bruckman v. Parliament Escrow Co.</i> (1989) 190 Cal.App.3d 1051, 1062.) Generally, courts employ the lodestar method to determine if attorney's fees are reasonable, which involves multiplying the reasonable rate of services by the number of hours spent on the case. (<i>Nichols v. City of Taft</i> (2007) 155 Cal.App.4th 1233, 1242.) The Court finds the hourly rate sought by Defendants at \$375, the time spent on the appeal, and time spent on this fee motion are all reasonable. The Court also finds the requested costs to be reasonable. Notably, Plaintiffs did not challenge the reasonableness of the fees and costs sought, thereby conceding the issue. (<i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal.App.4th 562,